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CAPITAL RESTRICTIONS

Learning Outcome

- describe common objectives of capital restrictions imposed by governments

Governments restrict inward and outward flow of capital for many reasons. For example, the government may want to meet some objective regarding employment or regional development, or it may have a strategic or defense-related objective. Many countries require approval for foreigners to invest in their country and for citizens to invest abroad. Control over inward investment by foreigners results in restrictions on how much can be invested, and on the type of industries in which capital can be invested. For example, such strategic industries as defense and telecommunications are often subject to ownership restrictions. Outflow restrictions can include restrictions on repatriation of capital, interest, profits, royalty payments, and license fees. Citizens are often limited in their ability to invest abroad, especially in FX-scarce economies, and there can be deadlines for repatriation of income earned from any investments abroad.

Economists consider free movement of financial capital to be beneficial because it allows capital to be invested where it will earn the highest return. Inflows of capital also allow countries to invest in productive capacity at a rate that is higher than could be achieved with domestic savings alone, and it can enable countries to achieve a higher rate of growth. Long-term investments by foreign firms that establish a presence in the local economy can bring in not only much needed capital but also new technology, skills, and advanced production and management practices as well as create spillover benefits for local firms. Investment by foreign firms can create a network of local suppliers if they source some of their components locally. Such suppliers may receive advanced training and spillover benefits from a close working relationship with the foreign firms. On the one hand, increased competition from foreign firms in the market may force domestic firms to become more efficient. On the other hand, it is possible that the domestic industry may be hurt because domestic firms that are unable to compete are forced to exit the market.

liquid assets rather than foreign direct investment in productive assets. In such circumstances, capital restrictions are often used in conjunction with other policy instruments, such as fixed exchange rate targets. Capital restrictions and fixed exchange rate targets are complementary instruments because in a regime of perfect capital mobility, governments cannot achieve domestic and external policy objectives simultaneously using only standard monetary and fiscal policy tools. By limiting the free flow of capital, capital controls provide a way to exercise control over a country's external balance, whereas more traditional macro-policy tools are used to address other objectives.

Modern capital controls were developed by the belligerents in World War I as a method to finance the war effort. At the start of the war, all major powers restricted capital outflows (i.e., the purchase of foreign assets or loans abroad). These restrictions raised revenues by keeping capital in the domestic economies, facilitating the taxation of wealth, and producing interest income. Moreover, capital controls helped to maintain a low level of interest rates, reducing the governments' borrowing costs on their liabilities. Since World War I, controls on capital outflows have been used similarly in other countries, mostly developing nations, to generate revenue for governments or to permit them to allocate credit in their domestic economies without risking capital flight. In broad terms, a capital restriction is any policy designed to limit or redirect capital flows. Such restrictions may take the form of taxes, price or quantity controls, or outright prohibitions on international trade in assets. Price controls may take the form of special taxes on returns to international investment, taxes on certain types of transactions, or mandatory reserve requirements—that is, a requirement forcing foreign parties wishing to deposit money in a domestic bank account to deposit some percentage of the inflow with the central bank for a minimum period at zero interest. Quantity restrictions on capital flows may include rules imposing ceilings or requiring special authorization for new or existing borrowing from foreign creditors. Or administrative controls may have an impact on cross-border capital movements in which a government agency must approve transactions for certain types of assets.

Effective implementation of capital restrictions may entail non-trivial administration costs, particularly if the measures have to be broadened to close potential loopholes. Protecting the domestic financial markets by capital restrictions also may postpone necessary policy adjustments or impede private-sector adaptation to changing international circumstances. Most important, controls may give rise to negative market perceptions,

International Monetary Fund considered restrictions on capital outflows and inflows separately. The authors concluded that for restrictions on capital inflows to be effective (i.e., not circumvented), the coverage needs to be comprehensive and the controls need to be implemented forcefully. Considerable administrative costs are incurred in continuously extending, amending, and monitoring compliance with the regulations. Although controls on inflows appeared to be effective in some countries, it was difficult to distinguish the impact of the controls from the impact of other policies, such as strengthening of prudential regulations, increased exchange rate flexibility, and adjustment of monetary policy. In the case of capital outflows, the imposition of controls during episodes of financial crisis seems to have produced mixed results, providing only temporary relief of varying duration to some countries, while successfully shielding others (e.g., Malaysia) and providing them with sufficient time to restructure their economies.

EXAMPLE 5

Historical Example—Capital Restrictions: Malaysia's Capital Controls in 1998–2001

After the devaluation of the Thai baht in July 1997, Southeast Asia suffered from significant capital outflows that led to falling local equity and real estate prices and declining exchange rates. To counter the outflows of capital, the IMF urged many of the countries in the region to increase interest rates, thus making their assets more attractive to foreign investors. Higher interest rates, however, weighed heavily on the domestic economies. In response to this dilemma, Malaysia imposed capital controls on 1 September 1998. These controls prohibited transfers between domestic and foreign accounts, eliminated credit facilities to offshore parties, prevented repatriation of investment until 1 September 1999, and fixed the exchange rate of the Malaysian ringgit at 3.8 per US dollar. In February 1999, a system of taxes on capital flows replaced the prohibition on repatriation of capital. Although the details were complex, the net effect was to discourage short-term capital flows while permitting long-term transactions. By imposing capital controls, Malaysia hoped to regain monetary independence and to be able to cut interest rates without provoking a fall in the value of its currency as investors avoided Malaysian assets. The imposition of outflow controls indeed curtailed speculative capital outflows and allowed interest rates to be reduced

1999 and 2000. With the restoration of economic and financial stability, administrative controls on portfolio outflows were replaced by a two-tier, price-based exit system in February 1999, which was finally eliminated in May 2001. Although Malaysia's capital controls did contribute to a stabilization of its economy, they came with long-term costs associated with the country's removal from the MSCI developed equity market index, an important benchmark in the institutional asset management industry, and its relegation to the emerging market universe. The Malaysian market was no longer seen as on par with developed equity markets whose institutional and regulatory frameworks provide a higher standard of safety for investors. As a result, a number of market analysts suggested that it became more difficult for Malaysia to attract net long-term capital inflows.

1. Under what economic circumstances were Malaysia's capital restrictions imposed?

   Hide Solution

   Solution:

   As a result of the Southeast Asian crisis, Malaysia suffered substantial net capital outflows pushing up the domestic interest rate level.

2. What was the ultimate objective of Malaysia's capital restrictions?

   Hide Solution

   Solution:

   The restrictions were designed to limit and redirect capital flows to allow the government to reduce interest rates and pursue bank and corporate restructurings.

3. How successful were the country's capital restrictions?

   Hide Solution

   Solution:

   Although the capital controls helped stabilize Malaysia's economy, they contributed to a change in investors' perception of Malaysian financial markets and the removal of the Malaysian equity market from the MSCI benchmark universe of developed equity markets. This situation undermined

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{WFII} FOREIGN PORTFOLIO INVESTMENT

The Bloomberg WFII function allows you to view "hot money" equity and bond capital flows into and out of several countries.

> "WFII <GO> allows you to track foreign portfolio investment flows into global equity and fixed income markets, so you can monitor inflows and outflows from individual countries and regions, and analyze and compare trends over time. You can analyze the data in different currencies, so you can monitor the impact of portfolio flows on local currency. WFII allows you to monitor this data on a real time basis with key data for a wide variety of markets available on a daily and weekly basis. You can also compare year-on-year changes to determine possible seasonal influences on cross border flows." -Bloomberg

To explore this function, type WFII into the Bloomberg command line and press Enter or <GO>.

Export WFII - Foreign

Country	Date	Daily	WTD	MTD	QTD	YTD	1
Equity							
Asia (11)							
China	31MAR2023			-8,437.3	+48,188.6	+48,188.6	+4,277
India	13JUN2023	+267.1	+195.0	+900.1	+7,831.3	+5,348.8	+13,625
Indonesia	14JUN2023	47.2	99.4	113.3	+824.4	+1,269.7	+698
Japan	02JUN2023		+4,366.1	+4,366.1	+34,505.4	+36,039.5	+8,043
Malaysia	13JUN2023	-17.0	-14.3	-135.6	-350.9	-773.8	-1,303
Philippines	14JUN2023	-9.5	-13.4	-26.4	-72.8	-591.1	-1,145
S. Korea	14JUN2023	-158.7	-119.8	+258.4	+3,988.7	+9,458.4	+14,228
Sri Lanka	14JUN2023	-.6	-2.0	-3.5	-1.3	-.5	+86
Taiwan	14JUN2023	+105.4	+1,651.3	+2,142.0	+4,794.2	+12,764.4	+553
Thailand	14JUN2023	-21.9	-3.1	-74.2	-1,272.2	-2,917.8	-829
Vietnam	14JUN2023	+25.7	+29.5	+.7	-226.6	-7.9	+1,052
Americas (5)							
Brazil	12JUN2023	+336.3	+336.3	+926.4	+624.7	+2,314.3	+11,279
Canada	28FEB2023			-4,887.4	-8,990.2	-8,990.2	-16,675
Chile	31MAR2023				-43.5	-43.5	+7,246
Colombia	31MAR2023				+27.1	+27.1	-132
United States	31MAR2023			+36,088.0	-7,676.0	-7,676.0	-64,096
EMEA (21)							
Bulgaria	31MAR2023			-1.7	-11.8	-11.8	+20
Czech Republic	30APR2023			+3.8	+3.8	+165.6	+27
Dubai	14JUN2023	+9.5	+36.4	+171.3	+558.4	+730.6	+1,401

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{WCRS} WORLD CURRENCY RANKER

The concept of purchasing power parity (PPP) suggests that nominal exchange rates adjust such that the same basket of goods has the same price in different markets. Bloomberg allows you to estimate this relationship using the World Currency Ranker {WCRS} function, which allows comparisons based on a number of price indexes, such as consumer prices. The REER datafield on the Bloomberg WCRS function shows the real effective exchange rate for any currency pair. Meanwhile, the NEER datafield shows the nominal effective exchange rate.

> "WCRS allows you to visually rank and compare current and historical currency rates on a bar chart, so you can easily identify, analyze, and understand FX market trends and seize potential trading opportunities. WCRS provides a comprehensive overview of the FX market by allowing you to compare currencies based on metrics that include returns, interest rates, volatility, carry trade, credit default swaps, and purchasing power parity." -Bloomberg

To explore this function, type WCRS into the Bloomberg command line and press Enter or <GO>. Select Purch. Power on the left tab.

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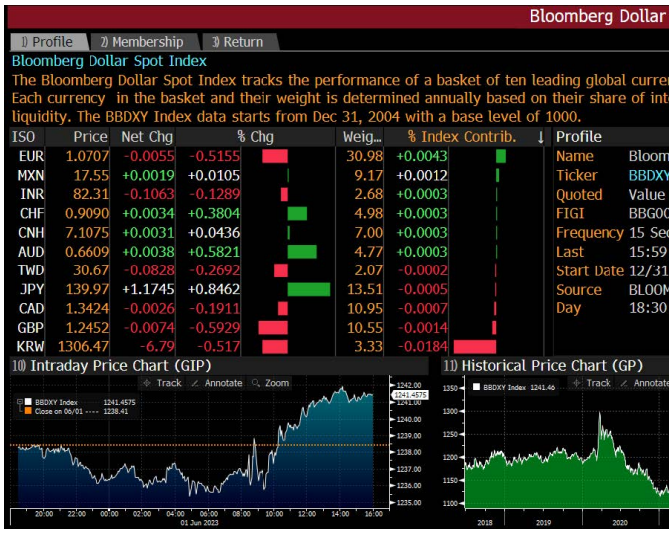
{BDXY} BLOOMBERG DOLLAR SPOT INDEX

Exchange rate movements can affect both international goods flows and cross-border investments. The Bloomberg function BDXY allows you to track the performance of 10 leading global currencies versus the US dollar as a basket, which are weighted on the basis of trade flows and FX liquidity.

> "BDXY <GO> allows you to display information regarding The Bloomberg US Dollar Index (BBDXY <INDEX>), which tracks the performance of a basket of 10 leading global currencies versus the USD, so you can generalize the value of the USD." -Bloomberg

To explore this function, type BDXY into the Bloomberg command line and press Enter or <GO>.



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